KCS SACCO SOCIETY LTD
P.O.Box 663—00621 Village Market
Tel: +254(0)741-888-000
Email: info@karurasacco.or.ke
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Our Ref: KCSB08202600

Date: 13/08/2026

0741888000

P O Box ~~668 - 00621~~

NAIROBI - KENYA

Dear Sir/Madam

RE: Letter Of Offer Commodity Murabaha/Monetization (Tawarruq) AGREEMENT TO (.....the "Member" .....)

Commodity Murabaha/monetization (Tawarruq) is an instrument for Islamic financing, whereby a customer with a genuine need buys a product from the financier (e.g. Sacco) on a deferred payment basis and then immediately resales it for cash to a third party. In this way, the customer can obtain cash without taking an interest-based loan. **The repayment schedule does NOT change after** the elapse of the agreed time.

Referring to your Application for ....1,500,000..... Dated .....29th July 2026..... For a Financing Facility, we are pleased to outline here below the terms of a Commodity Murabaha Sale arrangement together with the terms and conditions of the Financed Facility (Agreement) appended hereto:-

1. **FINANCING CONTRACT.**

This is a Commodity Murabaha /monetization (Tawarruq) facility for the purchase of a fast moving commodity for you on deferred terms which you can later on sell to the third party and access cash to meet your financial obligations. In this case; fast moving consumer goods from.....:

With a **cost price** of Ksh. 1,500,000 Plus a **profit margin** of Ksh. 319,477
Hence a **contract price** of Ksh. 1,819,477 (**Total Amount to be paid**)
To be paid by Monthly Instalments of **Ksh**...50,541.....for a repayment period of 36 Months.

Kindly be informed that the facility is in Kenya shillings.

2. **SECURITY / COLLATERAL TO BE PROVIDED.**
   a) Guarantors
   b) LR.NO....
3. **IMPORTANT CONDITIONS TO BE NOTED.**

a) Provision of proof of the financial need.
b) Payment of the fast moving product shall be made directly to the seller/vendor.
c) Acceptance of the stipulated terms of Offer.
d) Proper execution of a Tawarruq Contract i.e. buying and selling of the said Commodity to the Member.

Kindly be informed that this Letter of Offer is valid for acceptance within a period of 30 days from the date hereof and may only be extended with prior agreement with the Financing office of the SACCO SOCIETY.

Yours Faithfully,

MEMBER'S ACCEPTANCE

....., do hereby accept the Facility stipulated in this Letter of Offer and the Terms and Conditions annexed to this Letter of Offer.

Signature:..... Date: .....

Witness Name:_____

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Date: 13/08/2026

THIS ASSET FINANCE COMMODITY MURABAHA AGREEMENT IS MADE at 2:00pm this 13th day of Aug 20 2026

BETWEEN

Faraj Rachid Bakari of Postal Address 60035 - 00100, and hereinafter referred to as the "**Member**" that is, the person(s) whose name and signature is appended to the Letter of Offer. **And**

SACCO SOCIETY - SHARIA COMPLIANT PROPOSITION, a Sacco society having its registered office at Nairobi and of Postal Address Number 663-00800, Nairobi, Kenya and herein after referred to as "the Sacco Society"

IT IS THEREFORE AGREED BY THE PARTIES as stipulated below:

1. **PURCHASE AND SALE OF THE GOODS/COMMODITIES.**

1.1 The Sacco society agrees to sell the Goods to the Member to a maximum amount of the Cost Price and the Member agrees to purchase the Goods from the Sacco at the Contract Price. Upon receipt by the Sacco of the Member's Application advising the Sacco to purchase the Goods on his/her behalf and making payment thereafter, **the Sacco shall acquire/purchase the Goods physically or constructively from the Vendor/Supplier**. The payment for such Goods shall be made by the Sacco directly to the Supplier/vendor on submission of a written notice/invoice or verbal communication during the execution of this contract i.e during the purchase of the said goods/commodities.

1.2 **Upon receipt of the Goods/Commodities purchased by the Sacco, physically or constructively, from the Supplier/vendor, the Goods shall be at the risk and cost of the Sacco until such time that these Goods are sold to the Member.**

1.3 **After the purchase of Goods by the Sacco, the Sacco shall offer to sell the Goods to the Member at the Contract Price provided in the Letter of Offer.**

1.4 The Member's purchase of Goods from the Sacco shall be effected by the exchange of an offer from the Sacco and acceptance by the Member.

2. **FEES AND EXPENSES**

The Member shall pay to the Sacco upfront, all expenses (including legal, valuation and other expenses that shall be communicated from time to time as far as the sale and purchase of goods under Commodity Murabaha contract is concerned) incurred by the Sacco in connection with the negotiation, preparation and execution of the Commodity Murabaha Contract.

3. **PAYMENT OF CONTRACT PRICE.**

3.1 All payments to be made by the Member under this Agreement shall be made in full on the due date and when the due date is not a Business Day, the following Business Day.

3.2 **The Contract price does NOT CHANGE in anyway whatsoever because it is a sale once effected and therefore a debt; it is repugnant in Shari'ah to reprise a debt.**

4. **UNDERTAKING**

The Member covenants to and undertakes with the Sacco that so long as the Member is indebted to the Sacco in terms of this Agreement:

4.1 It shall inform the Sacco of any Event of Default or any event, which with the giving of notice or lapse of time or both would constitute an Event of Default forthwith upon becoming aware thereof;

4.2 It shall provide to the Sacco, upon written request, copies of all contracts, agreements and documentation relating to the purchase of the Goods/Commodities.

4.3 The Member shall do all such things and execute all such documents which in the judgment of the Sacco may be necessary to;

(i) enable the Sacco to assign or otherwise transfer the liability of the Member in respect of the Contract Price to any creditor of the Sacco or to any third party as the Sacco may deem fit at its absolute discretion;

(ii) create and perfect the Security;

(iii) maintain the Security in full force and effect at all times including the priority thereof;

(iv) maintain, insure and pay all Taxes assessed in respect of the Secured Assets and protect and enforce its rights and title, and the rights of the Sacco in respect of the Secured Assets, and;

(v) Preserve and protect the Secured Assets. The Member shall at its own expense cause to be delivered to the Sacco such other documentation and legal opinion(s) as the Sacco may reasonably require from time to time in respect of the Contract period.

4.4 **The Member will satisfactorily insure all its insurable assets with reputable companies offering protection under the Islamic concept of Takaful, the Secured Assets shall be comprehensively insured to the satisfaction of the Sacco against all insurable risks and to assign all policies of insurance in favour of the Sacco to the extent of the amount from time to time due under this**

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Agreement, and to cause the notice of the interest of the Sacco to be noted on the policies of insurance, and to punctually pay the premium due for such insurances and to contemporaneously therewith deliver the premium receipts to the Sacco.

4.5 As required in the normal operation of its business, the Member shall not, without the written consent of the Sacco, sell, transfer, lease or otherwise dispose of all or a sizeable part of its assets, or undertake or permit any merger, consolidation, dismantling or re organization which would materially affect the Member's ability to perform its obligations under any of the Principal Documents;

4.6 The Member shall not (and shall not agree to), except with the written consent of the Sacco, create, incur, assume or suffer to exist any Lien whatsoever upon or with respect to the Secured Assets and any other assets and properties owned by the Member which may rank superior, or inferior to the security created or to be created in favour of the Sacco pursuant to the Principal Documents;

4.7 The Member shall forthwith inform the Sacco of:

(i) Any event or factor, any litigation or proceedings pending or threatened against the Member which could materially and adversely affect or be likely to materially and adversely affect:

a. the financial condition of the Member;
b. business or operations of the Member; and
c. the Member's ability to meet its obligations when due under any of the Principal Documents;

(ii) Any actual or proposed termination, rescission, discharge (otherwise than by performance), amendment or waiver or indulgence under any material provision of any of the Principal Documents;

(iii) Any material notice or correspondence received or initiated by the Member relating to the License, consent or authorization necessary for the performance by the Member of its obligations under any of the Principal Documents.

5. EVENTS OF DEFAULT

5.1 A Default will occur in the opinion of the Sacco where;

(a) Presentation of false Information has been noted on the side of Member.

(b) Any Indebtedness of the Member to the Sacco is not paid when due or becomes due or capable of being declared due prior to its stated maturity;

5.2 Notwithstanding anything contained herein, the Sacco may without prejudice to any of its other rights, at any time after the happening of an Event of Default by notice to the Member declare that entire amount by which the Member is indebted to the Sacco shall forthwith become due and payable.

6. DEFAULT DAMAGES

6.1 Where any amount is required to be paid by the Member under the Principal Documents on a specified date and is not paid by that date, **or an extension thereof, permitted by the Sacco without any increase in the Contract Price, the Member hereby undertakes to pay directly to the Charity Fund which is managed by the Shari'ah Advisory Committee of the SACCO SOCIETY, a sum calculated at Ten Percent (10%) per annum for the entire period of default, calculated on the total amount of the obligations remaining un-discharged. The Charity Fund shall be used at the absolute discretion of the Sacco through guidance from the Shari'ah Advisory Committee.**

6.2 In case any amount(s) referred to in clause 6.1 above, including the amount undertaken to be paid directly to the Charity Fund, by the Member, is not paid by the Member, or the Member delays the payment of any amount due under the Principal Documents and/ or the payment of amount to the Charity Fund as envisaged under Clause 6.1 above, as a result of which any direct or indirect costs are incurred by the Sacco, the Sacco shall have the right to approach a competent Court (i) for recovery of any amounts remaining unpaid as well as (ii) for imposing of default damages on the Member.

6.3 In this regard the Member is aware and acknowledges that notwithstanding the amount paid by the Member to the Charity Fund of the Sacco, the Court has the power to impose default damages, at its discretion, and from the amount of such damages, a smaller or bigger part, depending upon the circumstances, can be awarded as solatium to the Sacco, determined on the basis of direct and indirect costs incurred, other than the opportunity cost.

6.4 The Shari'ah/Technical Committee shall be involved before any sale of collateral and securities after the due process has been followed.

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7. INDEMNITIES

The Member shall indemnify the Sacco against any expense which the Sacco shall prove as rightly incurred by it as a consequence of

7.1 the occurrence of any Event of Default that can be experienced during the purchase and sale of Goods or any part thereof by the Member or the ownership thereof, and

7.2 any misrepresentation.

8. FORCE MAJEURE

Any delays in or failure by a Party hereto in the performance hereunder if and to the extent it is caused by the occurrences or circumstances beyond such Party's reasonable control, including but not limited to, acts of God, fire, strikes or other labor disturbances, riots, civil commotion, war (declared or not) sabotage, any other causes, similar to those herein specified which cannot be controlled by such Party. The Party affected by such events shall promptly inform the other Party of the occurrence of such events and shall furnish proof of details of the occurrence and reasons for its non-performance of whole or part of this Agreement. The parties shall consult each other to decide whether to terminate this Agreement or to discharge part of the obligations of the affected Party or extend its obligations on a best effort and on an arm's length basis.

9. APPLICABLE LAW AND ARBITRATION.

9.1 This Agreement and its performance shall be governed by and construed in accordance with the laws of Kenya under the Co operative Societies, Act Cap 490 and the rules made there under.

9.2 Any dispute arising out of or in connection with this Agreement shall first be referred to arbitration by the Shari'ah/Technical Committee

9.3 Such arbitration shall be conducted in an agreed location and each party shall be responsible for its share of the arbitrator's fees as may be mutually agreed by the Parties.

9.4 To the extent permissible by law, the determination of the Arbitrator shall be binding upon the Parties.

9.5 Any aggrieved Party to an award made under this clause shall have the right of appeal to the Courts and the Parties herein submit to the non-exclusive jurisdiction of the Kenyan Courts.

9.6 In the event a Party fails to proceed with arbitration or unsuccessfully challenges the arbitrator's award or fails to comply with the arbitrator's award, the other Party is entitled to costs of suit including reasonable legal fees for having to compel arbitration or defend or enforce the award.

IN WITNESS WHEREOF, the parties hereto have duly executed or caused to be duly executed this Agreement as of the date first above written.

_____

Signed for and on behalf of the Sacco

_____

Signed by the Guarantor

Witness Name:_____

(Advocate)

Signature:_____

_____

Signed by the Member.

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AGENCY AGREEMENT

To:
The SACCO Society
Box. 662-00621

From:
Member
Box. 00035-00100

With reference to the Commodity Murabaha/Tawarruq Facility Agreement dated 13th , I hereby confirm my agreement to appoint you (the SACCO Society) as my Agent to acquire on my account and benefit goods/commodities of the description to be specified in the purchase requisition which shall be issued from time to time in this case fast moving goods e.g palm oil, under the following terms and conditions:

1. As my Agent, you will be responsible to receive the Goods directly from the Supplier (s) from time to time in terms of Purchase Requisition(s) to be duly endorsed by myself.
2. As my Agent you will be able to sale the said goods/commodities through a shari'ah compliant platform and deposit the cash on my account.

Signature of the Agent (SACCO Society)

ANNEX 1
REPAYMENT SCHEDULE

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